

TABLE 10.1 Performance Statistics for All Value Stocks, Deep Value Stocks, and Glamour Value Stocks (1951 to 2013)

	Deep Value Portfolios	Glamour Value Portfolios	All Value Portfolios
Compound Annual Growth Rate	15.72%	8.84%	8.36%
Arithmetic Average	16.22%	9.61%	12.91%
Standard Deviation	13.63%	14.40%	14.35%
Sharpe Ratio	1.28	0.64	0.92

Data Source: Eyquem Investment Management LLC, Compustat.

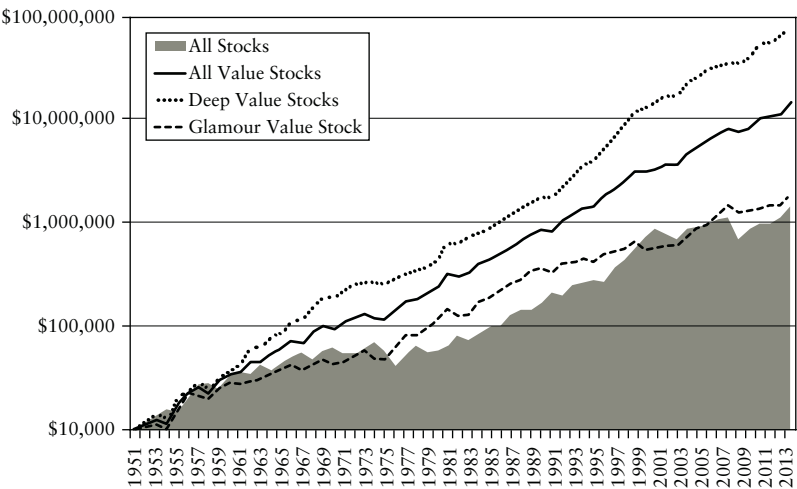


FIGURE 10.4 Performance of All Value Stocks Compared to Deep Value and Glamour Value Stocks and All Stocks, Market Capitalization Weight (1951 to 2013)

Figure 10.4 and Table 10.1 demonstrate that the Deep Value portfolios outperformed over the full period, but is this true for each decade? Where the quality measure failed, the value measure stands out, delivering an exceptionally consistent performance. Table 10.2 shows the performance statistics for the All Value Stocks portfolios, Glamour Value, and Deep Value portfolios broken out for each decade.

Figure 10.5 shows the compound annual growth rates for each of the portfolios in each decade.